AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Chipotle Mexican Grill

22 October 2026 · the qualitative

$28.12

NYSE : CMG · $36.61B mkt cap · 1.30B sh · $1.05B cash, zero debt · Net cash ~$1.05B, no funded debt; ~1.30B fully-diluted shares (50:1 split-adjusted) — solvency a non-issue; Revenue $11.93B FY25 (+6%); GAAP op margin 16.2% (off the 16.9% peak); FCF ~$1.4B (~12%), capex ~11-12% on new units; Down ~10% YTD / ~15% TTM; ~31x FCF, cheapest in years

Mature-Company DCF

THE CENTRAL QUESTION

As comps inflect barely positive while restaurant-level margin compresses, does the 4,100–7,000 unit runway re-rate the stock, or is ~31x FCF already full?

Chipotle trades at ~$43.15B (~$33.14, down ~10% YTD / ~15% TTM) — ~31x FCF on $11.93B revenue, net cash, GAAP op margin 16.2% off a 16.9% peak. Q1'26 comps just turned positive (+0.5%, traffic-led, no price), but restaurant-level margin fell 250bps as management declines to fully price mid-single-digit inflation to defend value. The bull is the unit runway (~4,100 to 7,000 NA) plus throughput/automation; the bear is a maturing concept with structurally low-single-digit same-store growth at a premium multiple. The weighted DCF lands -7.4% — the modal base (-8.1%) falls short of today's price; the runway is real, the multiple already pays for it.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) +8.4% · 40% at or below spot

$30.68 expected fair value today

+9.1% vs spot $28.12

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$46.05	$69.17	$103.97	$156.41
1.64× spot	2.46× spot	3.70× spot	5.56× spot

WEIGHTING RATIONALE

Ultra Bear 13% Comps roll over and margin slides; ~$14.66 (-56%).
Bear 27% Units grow but same-store stays sluggish; ~$21.83 (-34%).
Base 34% Runway delivers at low-single-digit comps; ~$30.47 (-8.1%).
Bull 18% Throughput inflects, comps and margin lift; ~$44.77 (+35%).
Ultra Bull 8% Full runway plus automation; ~$55.75 (+68%).

Bull (18%) + Ultra Bull (8%) together contribute $12.52 — 41% of the $30.68 expected value despite 26% combined probability. Today's spot ($28.12) sits 8% below the weighted expected.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR $14.66

-47.9% vs spot

CAGR +3.0% WACC 10.0%
CAGR +3.0% Prob 13%

Comps roll over; margin keeps sliding.

BEAR $21.83

-22.4% vs spot

CAGR +5.4% WACC 9.0%
CAGR +5.4% Prob 27%

Units grow; same-store stays sluggish.

BASE $30.47

+8.4% vs spot

CAGR +7.8% WACC 8.5%
CAGR +7.8% Prob 34%

Runway delivers; comps low-single-digit.

BULL $44.77

+59.2% vs spot

CAGR +10.0% WACC 8.0%
CAGR +10.0% Prob 18%

Throughput inflects; comps and margin lift.

ULTRA BULL $55.75

+98.3% vs spot

CAGR +11.8% WACC 7.8%
CAGR +11.8% Prob 8%

Full runway plus automation; FCF machine.

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AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO — LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Chipotle Mexican Grill scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 13% Bear 27% Base 34% Bull 18% Ultra Bull 8% · Weighted expected $30.68 (+9.1% vs spot)

ULTRA BEAR $14.66

-47.9% vs spot

Probability 13%

Comps roll over; margin keeps sliding.

WHY 13%

The genuine bear: comps were negative three straight quarters into Q1'26, the +0.5% carries no price, and the 250bps margin cut shows inflation isn't being recovered. 13% on the inflection failing and value-wars biting.

WHAT HAPPENS

Value-perception softness wins: traffic gives back the +0.5% inflection, same-store sales go flat-to-negative, and beef/freight/labor inflation that management won't price keeps restaurant-level margin grinding below 23% toward a low-14% company op margin. The unit machine keeps opening but de-levers a softening top line, so FCF margin slips toward ~10%.

A maturing premium QSR whose comps and margins are both eroding earns a low-single-digit-growth, ~13x terminal FCF multiple — DCF ~$14.66 (-56%). Net cash floors the equity but cannot offset a stalled same-store engine.

BEAR $21.83

-22.4% vs spot

Probability 27%

Units grow; same-store stays sluggish.

WHY 27%

Unit growth continues but soft comps + value-perception drag + unrecovered inflation keep the P&L flat. 27% as the plausible 'opens stores but doesn't re-accelerate' path, given the comp history and the guide-to-flat.

WHAT HAPPENS

Units keep opening toward the 7,000 runway but same-store sales stay low-single-digit and traffic-led, while inflation the brand won't fully price holds restaurant-level margin around recent levels rather than recovering. Revenue compounds ~5% to ~$15B at a ~12% FCF margin — the runway is real, the comp engine and margin lift are not.

DCF ~$21.83 (-34%) — a slowing-comp grower at a still-rich multiple is worth meaningfully below today's price; the discount is warranted if same-store growth stays structurally low and margins don't re-expand.

BASE $30.47

+8.4% vs spot

Probability 34%

Runway delivers; comps low-single-digit.

WHY 34%

Requires the unit runway to convert at roughly today's unit economics with low-single-digit comps — consistent with the 'Recipe for Growth' plan, not a step-change re-acceleration. 34% as the central case, below spot.

WHAT HAPPENS

The modal path: openings run at the high end (~350-370/yr) toward the 7,000 NA target, comps settle low-single-digit, and restaurant-level margin stabilizes near current levels as throughput and the Hyphen makeline offset some inflation, lifting FCF margin toward ~14%. Revenue compounds ~8% to ~$17B.

DCF ~$30.47 (-8.1%) — modestly rich. A ~10% unit runway is genuinely valuable, but at ~14% terminal FCF margin and a ~19x FCF multiple the modal case falls short of today's spot; ~31x FCF already prices the runway in.

BULL $44.77

+59.2% vs spot

Probability 18%

Throughput inflects; comps and margin lift.

WHY 18%

Throughput/automation plus a sustained traffic turn is credible given the brand's ~$3M AUV and the makeline tests. ~18% on the operational lift compounding rather than fading.

WHAT HAPPENS

The traffic inflection holds and compounds: digital, the Hyphen automated makeline, and throughput initiatives lift transactions and restaurant-level margin back toward the high-25s even before price, units accelerate toward 7,000, and FCF margin climbs past 15%. Revenue compounds ~10% to ~$18-19B.

DCF ~$44.77 (+35%) — if comps re-accelerate and automation widens unit margins as the base expands, the franchise re-rates with its fundamentals; this is the core of the bull.

ULTRA BULL $55.75

+98.3% vs spot

Probability 8%

Full runway plus automation; FCF machine.

WHY 8%

Everything works — comps AND automation margins AND the full unit runway AND international, the premium-compounder outcome. ~8%, the long-duration tail.

WHAT HAPPENS

The full second act: the 7,000 NA runway plays out at high-end unit economics, automation (Hyphen) and digital structurally lift margins past 19% op / ~17% FCF, and international (Mexico, Korea/Singapore JV) opens a fresh capital-light leg. Revenue compounds ~12% to ~$20B and Chipotle reclaims a premium-compounder multiple.

DCF ~$55.75 (+68%) — best-in-class brand, automation-led margins, and a global runway re-rated together; ~8% probability, the asymmetric upside the de-rated entry is buying.

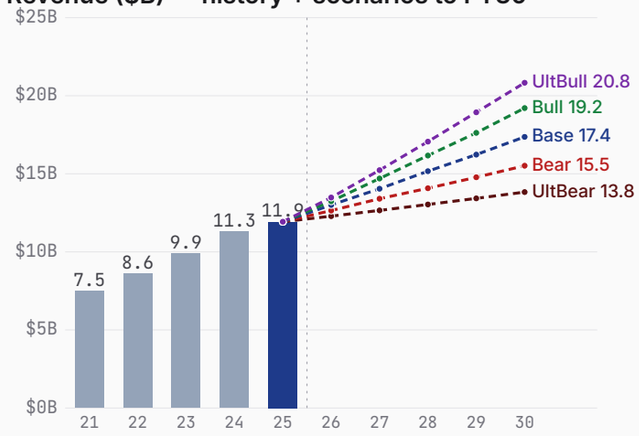
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Chipotle Mexican Grill business snapshot

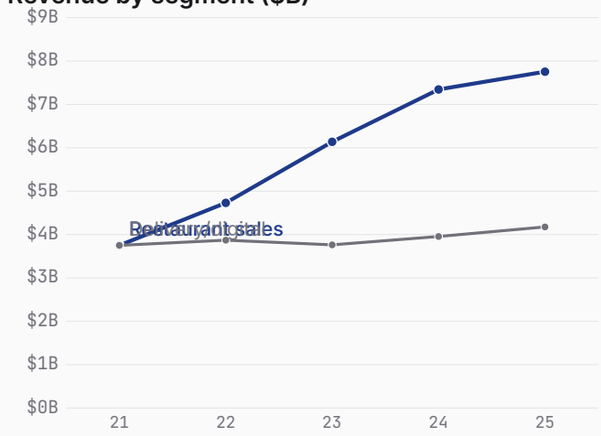
Bear $21.83 Base $30.47 Bull $44.77

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 FY2026 results

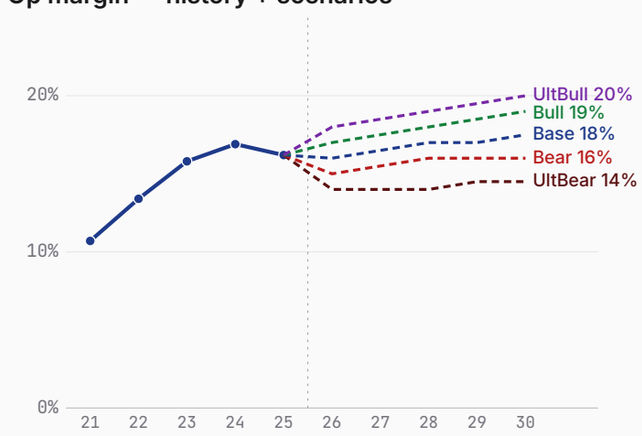
Revenue ($B) — history + scenarios to FY30



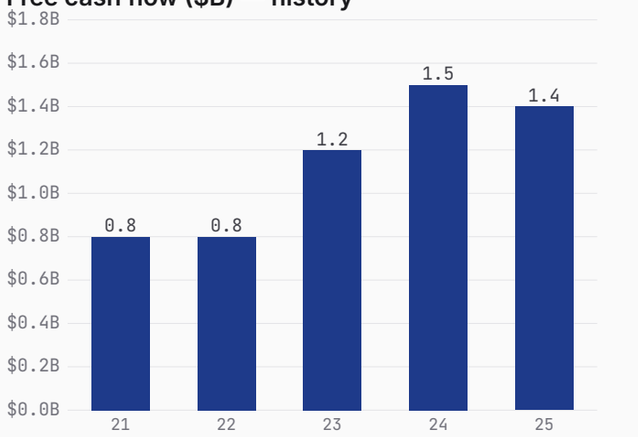
Revenue by segment ($B)



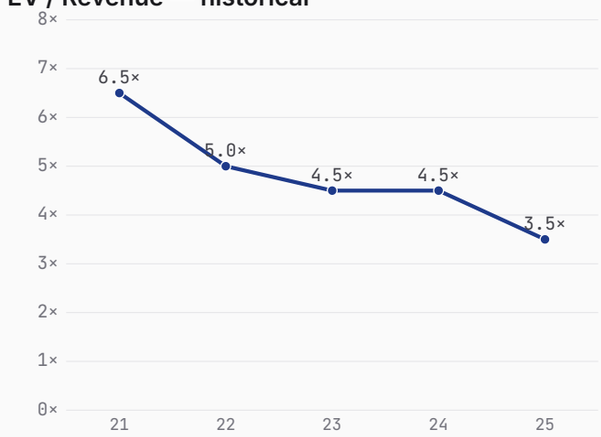
Op margin — history + scenarios



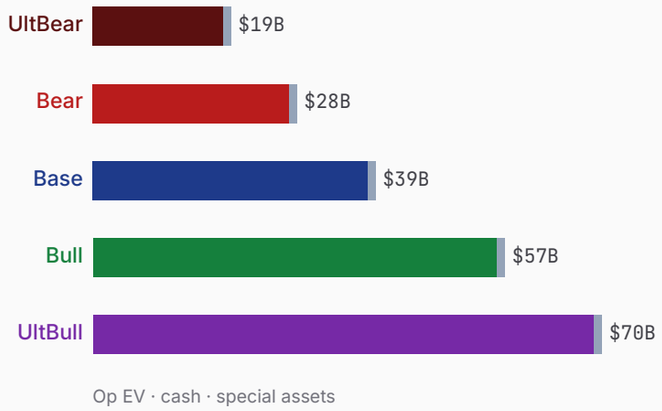
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Op EV · cash · special assets

Sources: SEC XBRL company facts (CIK 1058090), Chipotle Q1 FY2026 release (Apr 29 2026: revenue $3.1B/+7.4%, comps +0.5% traffic-led, restaurant-level margin 23.7% (-250bps), ~4,100 units, ~7,000-unit NA target). Revenue modeled as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. Multiples vs SHAK/CAVA/WING/MCD.

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Chipotle Mexican Grill 7 Powers · the moat, scored

Bear $21.83 Base $30.47 Bull $44.77

Arena. Premium fast-casual / fast food — Chipotle (the premium QSR brand, ~$3M AUV, ~4,100 company-owned units) vs Cava, Shake Shack, Wingstop and the QSR value set (McDonald's, Taco Bell); auditing a brand Power against QSR value-wars and value-perception softness.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies ■■■	~$12B revenue, ~4,100 company-owned units → real sourcing/marketing/G&A leverage and a self-funded build; second only to branding here.
Network Economies	None - restaurants aren't networks; the app/loyalty is a channel, not a network effect.
Counter-Positioning ■	Was the 'food with integrity' fast-casual disruptor; now the scaled incumbent, so this has faded.
Switching Costs ■	Near-zero - dining is promiscuous; loyalty/digital nudges repeat but every meal is a fresh decision.
Branding · thesis leans here ■■■	The dominant Power: a best-in-class premium QSR brand with ~$3M AUV well above peers and genuine pricing power - though it's choosing not to fully exercise it to defend value.
Cornered Resource ■	Prime real estate, supply relationships and recipe/operations IP; valuable but not truly cornered.
Process Power ■■	Throughput discipline and Hyphen makeline automation - a real emerging lever but unproven at the 7,000-unit scale; the bull's swing factor.

PEER SET

Cava (CAVA) — 25% gr · 12% mgn · ~46x EV/EBITDA
The fast-casual growth darling; richest multiple in the set, the unit-growth comp Chipotle is benchmarked against.

Shake Shack (SHAK) — 6% gr · 4% mgn · ~13x EV/EBITDA
Premium 'better burger', smaller and thinner-FCF; a same-archetype premium-brand unit-growth comp.

Wingstop (WING) — 11% gr · 25% mgn · ~37x EV/EBITDA
Asset-light franchise compounder; richly valued but wobbling - Q1'26 domestic SSS -8.7%.

McDonald's (MCD) — 5% gr · 45% mgn · ~25x P/E
The QSR value benchmark; the value-wars/trade-down pressure on Chipotle's premium pricing.

THREAT VECTORS · FALSIFIERS

Branding · QSR value-wars / trade-down (McDonald's, Taco Bell value menus)
falsifier: Comps stay flat-to-negative as premium pricing loses to value in a soft consumer and value-perception softens.

Scale Economies · Beef/freight/labor inflation management won't fully price
falsifier: Restaurant-level margin falls further below ~23%, rolling back the unit economics the runway needs.

Process Power · Cava / a crowded fast-casual field + throughput limits
falsifier: Same-store traffic fades and automation doesn't lift margin, so the 7,000-unit build compounds at low unit economics.

COMPETITIVE READ

Chipotle's brand Power is dominant and durable - a best-in-class premium QSR with ~$3M AUV, real scale economies across ~4,100 company-owned units, and pricing power it is deliberately not fully using to defend value. The Audit: branding is durable (high), process power (throughput, Hyphen automation) is the emerging swing factor, and the live threats are QSR value-wars / value-perception softness plus unrecovered beef/labor inflation that just cut restaurant-level margin 250bps. The franchise quality isn't in question; the price is. Comps barely turned positive (+0.5%, no price) while the stock still trades ~31x FCF, and the weighted DCF lands -7.4% - the unit runway is real and the brand is excellent, but the modal case (-8.1%) shows the multiple already pays for the runway, leaving the upside in the bull/ultra automation-and-comps re-acceleration.

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Chipotle Mexican Grill show your work

Bear $21.83 Base $30.47 Bull $44.77 · Weighted $30.68 (+9.1%)

ULTRA BEAR $14.66

ASSUMPTIONS

5y revenue CAGR (%)	+3.0
Year-5 op margin (%)	14.5
WACC (%)	10.0
Terminal growth (%)	2.5
Terminal FCF ($B)	$1.52B
Starting revenue ($B)	11.93
Scenario probability (%)	13

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	12.29	+14%	+1.23	+1.12
FY27	12.66	+14%	+1.27	+1.05
FY28	13.04	+14%	+1.30	+0.98
FY29	13.43	+14%	+1.48	+1.01
FY30	13.83	+14%	+1.52	+0.94

Σ PV explicit FCF	**+5.10**
+ PV terminal (g 2.5%)	12.91

EQUITY BUILD · $B & PER SHARE

Operating EV	$18.01B
+ Cash & investments	$1.05B
= Equity value	**$19.06B**
FY30 shares (M)	1,300
= Expected per share	**$14.66**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$23.61	$38.02	$61.24	$98.63
0.84×	1.35×	2.18×	3.51×

BEAR $21.83

ASSUMPTIONS

5y revenue CAGR (%)	+5.4
Year-5 op margin (%)	16.0
WACC (%)	9.0
Terminal growth (%)	3.0
Terminal FCF ($B)	$1.86B
Starting revenue ($B)	11.93
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	12.65	+15%	+1.39	+1.28
FY27	13.40	+16%	+1.54	+1.30
FY28	14.07	+16%	+1.69	+1.30
FY29	14.78	+16%	+1.77	+1.26
FY30	15.52	+16%	+1.86	+1.21

Σ PV explicit FCF	**+6.34**
+ PV terminal (g 3.0%)	20.77

EQUITY BUILD · $B & PER SHARE

Operating EV	$27.11B
+ Cash & investments	$1.05B
= Equity value	**$28.16B**
FY30 shares (M)	1,290
= Expected per share	**$21.83**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$33.59	$51.68	$79.52	$122.34
1.19×	1.84×	2.83×	4.35×

BASE $30.47

ASSUMPTIONS

5y revenue CAGR (%)	+7.8
Year-5 op margin (%)	17.5
WACC (%)	8.5
Terminal growth (%)	3.0
Terminal FCF ($B)	$2.43B
Starting revenue ($B)	11.93
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	13.00	+16%	+1.56	+1.44
FY27	14.04	+17%	+1.76	+1.49
FY28	15.17	+17%	+1.97	+1.54
FY29	16.23	+17%	+2.19	+1.58
FY30	17.37	+18%	+2.43	+1.62

Σ PV explicit FCF	**+7.67**
+ PV terminal (g 3.0%)	30.28

EQUITY BUILD · $B & PER SHARE

Operating EV	$37.95B
+ Cash & investments	$1.05B
= Equity value	**$39.00B**
FY30 shares (M)	1,280
= Expected per share	**$30.47**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$45.82	$68.89	$103.59	$155.76
1.63×	2.45×	3.68×	5.54×

BULL $44.77

ASSUMPTIONS

5y revenue CAGR (%)	+10.0
Year-5 op margin (%)	19.0
WACC (%)	8.0
Terminal growth (%)	3.5
Terminal FCF ($B)	$2.98B
Starting revenue ($B)	11.93
Scenario probability (%)	18

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	13.24	+17%	+1.72	+1.59
FY27	14.70	+18%	+2.06	+1.76
FY28	16.17	+18%	+2.35	+1.86
FY29	17.62	+19%	+2.64	+1.94
FY30	19.21	+19%	+2.98	+2.03

Σ PV explicit FCF	**+9.19**
+ PV terminal (g 3.5%)	46.62

EQUITY BUILD · $B & PER SHARE

Operating EV	$55.81B
+ Cash & investments	$1.05B
= Equity value	**$56.86B**
FY30 shares (M)	1,270
= Expected per share	**$44.77**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$65.78	$96.66	$142.02	$208.67
2.34×	3.44×	5.05×	7.42×

ULTRA BULL $55.75

ASSUMPTIONS

5y revenue CAGR (%)	+11.8
Year-5 op margin (%)	20.0
WACC (%)	7.8
Terminal growth (%)	3.5
Terminal FCF ($B)	$3.54B
Starting revenue ($B)	11.93
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	13.48	+18%	+1.89	+1.75
FY27	15.23	+19%	+2.29	+1.97
FY28	17.06	+19%	+2.73	+2.18
FY29	18.94	+20%	+3.13	+2.31
FY30	20.83	+20%	+3.54	+2.43

Σ PV explicit FCF	**+10.64**
+ PV terminal (g 3.5%)	58.55

EQUITY BUILD · $B & PER SHARE

Operating EV	$69.19B
+ Cash & investments	$1.05B
= Equity value	**$70.24B**
FY30 shares (M)	1,260
= Expected per share	**$55.75**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$81.16	$118.15	$172.00	$250.39
2.89×	4.20×	6.12×	8.90×

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Chipotle Mexican Grill People · Opportunity · Context · Deal

Bear $21.83 Base $30.47 Bull $44.77

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Scott Boatwright

2 yrs in seat

1%
insider ownership

MEDIUM
key-person risk

Capital allocation (realized)
Scott Boatwright became CEO in November 2024 (interim from August 2024, after Brian Niccol left for Starbucks); an internal promotion, not a founder. The balance sheet is net cash ($0 long-term debt); FY2025 net income $1.54B on $11.9B revenue, ~$1.45B FCF, funding aggressive unit growth and a buyback-only return (a $1.8B authorization added Dec 2025; ~$2.3B repurchased in 2025), no dividend. Ackman's Pershing Square fully exited in Q4 2025.

Incentive alignment
Boatwright's pay is ~96% variable/equity (FY2024 ~$19M including transition grants; FY2025 ~$15.5M). Insider trading is routine 10b5-1 selling. The flag is say-on-pay volatility — two low votes in five years (~51% in 2021, ~55% in 2025, both on one-time equity), each followed by remediation; the 2026 vote recovered to ~95%.

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no dual-class, no controlling shareholder (Ackman exited Q4 2025)
- Chair and CEO are SEPARATE, with an independent Chair (Scott Maw); 9 of 10 directors independent
- board declassified (annual elections since 2016); all committees independent
- say-on-pay volatility — two sub-60% votes in five years (2021, 2025), both remediated; a recurring pay-design watch-item
- compressed 2024-25 leadership turnover — a new CEO and a new CFO (after a ~24-year CFO) within ~18 months

THE FOUR LEGS

People
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value + position sizing.
+9.1% vs spot $28.12

> **PEOPLE READ**
> Structurally clean: single-class one-vote, a separate independent Chair, a 9-of-10 independent declassified board, net cash, no controlling holder. It sits at the lower end of the clean tier because of two real watch-items — a volatile say-on-pay record (two sub-60% votes in five years, both on one-time equity, since remediated) and a compressed CEO-plus-CFO turnover in 2024-25. Key-person risk is moderate given the recency of that turnover, offset by an internal-promote bench and a clean Niccol-to-Boatwright handoff.

Chipotle Mexican Grill supporting analysis · disclaimers · glossary

Bear $21.83 Base $30.47 Bull $44.77

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Comps finally turned positive — isn't that the inflection?**
+0.5% is traffic-led with no price; the modal DCF is still -8.1% because ~31x FCF already embeds a re-acceleration the +0.5% doesn't clear.

2 **The 7,000-unit runway is a long compounding machine.**
~4,100 to 7,000 NA is ~10% unit growth, but the base lands short because same-store growth is structurally low and the multiple already pays for it.

3 **Margin compression is the live risk, not the runway.**
RLM fell 250bps to 23.7% as management won't fully price inflation; the swing is whether unit economics (~25%+ RLM) hold while scaling.

4 **It's the cheapest Chipotle has been in years.**
True on the multiple (~31x FCF vs history), but cheap-vs-itself isn't cheap-vs-DCF; the distribution still centers modestly negative.

5 **Net cash; no solvency risk.**
~$1.05B cash and no funded debt — no solvency risk; the downside is multiple/comp/margin, not survival.

FALSIFICATION TRIGGERS

Bull validation

comps re-accelerate with traffic (not price) · RLM recovers toward 25%+ · automation lifts throughput · openings hold toward 7,000

Bear validation

comps slide back to flat/negative 2+ quarters · RLM falls below ~23% · inflation stays unpriced and op margin drifts toward 14%

Reframe needed

if same-store growth stays structurally low AND margin can't hold ~25%, the runway compounds at low unit economics - re-rate toward a maturing QSR multiple

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AI-assisted analysis.

Substantial portions of this analysis were produced with the assistance of large language models. LLMs are known to fabricate facts, miscalculate numbers, hallucinate sources, and present incorrect information with high apparent confidence. Every figure, claim, and projection in this document should be independently verified before acting on it.

Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

Author may hold positions.

The author may own, intend to acquire, or hold short exposure to $CMG or related securities at any time. Positions may change without notice and without an update to this document. Do not assume the author's positions match the tone of the analysis.

Do your own research.

Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Comparable restaurant sales (comps) — Same-store sales growth at restaurants open 13+ months; Q1'26 +0.5%, traffic-led with no price - the central swing signal.

Hyphen / makeline automation — Automated digital makeline being tested to speed throughput and lift restaurant margin - the process lever and the bull's margin path.

Restaurant-level margin (RLM) — Restaurant-level operating margin (non-GAAP, 23.7% Q1'26, -250bps YoY) before G&A - the unit-economics gauge that must hold ~25%+ as units scale.

FCF margin — Free cash flow / revenue (~12% FY25); the mature-DCF swing factor - whether the unit runway and automation convert to free cash flow against growth capex.

AUV — Average unit volume (~$3M per restaurant) - the per-store sales base, well above QSR, that sets new-unit returns.